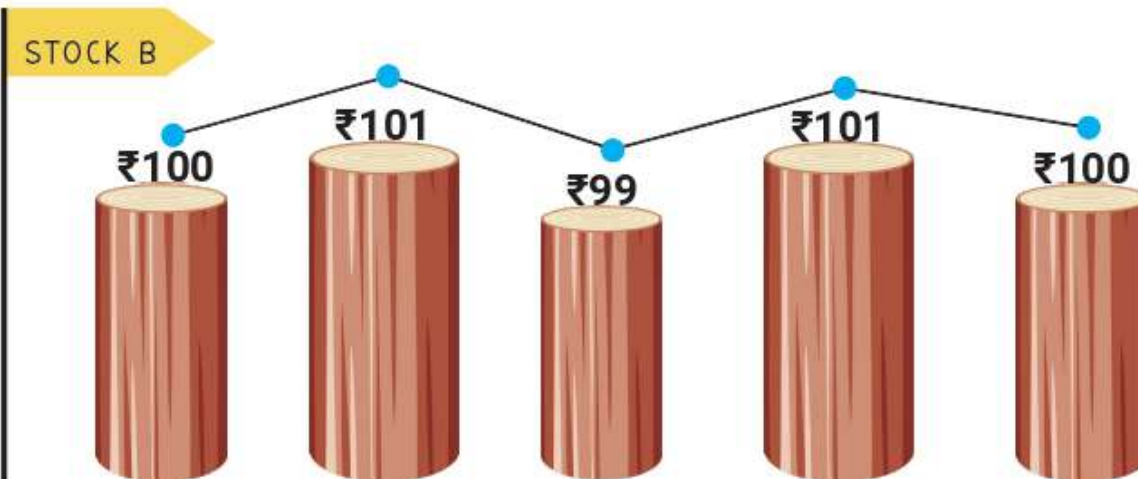
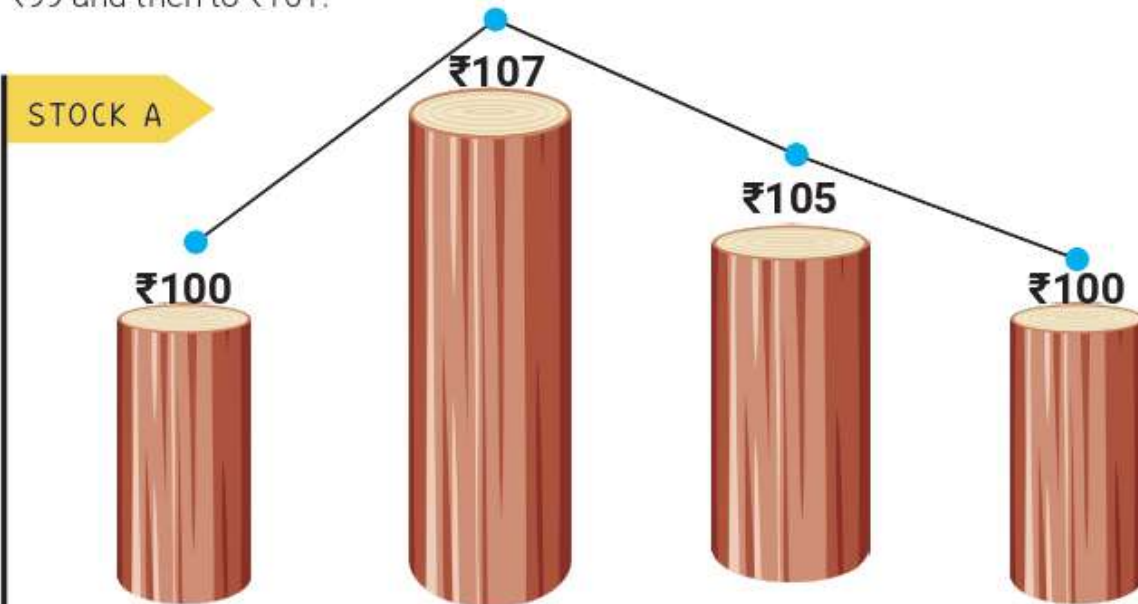


VOLATILITY

Here, we discuss the levels of current volatility and expected volatility in the market. Higher the volatility, higher will be the premium.

For example, assume that there are two stocks, one is moving from ₹100 to ₹105, then to ₹107 and then back at ₹100. The other is moving from ₹100 to ₹101, then to ₹99 and then to ₹101.



Which one of these has a greater risk based on price fluctuations? The first one, right? The risk is more because of bigger price movements. This goes to tell us that the first one is relatively more volatile, while the latter is less volatile.

Volatility is generally caused by some external event like COVID, Russia-Ukraine war etc that creates panic in the market or by economic environment which may not be very bullish. This increases uncertainty. With the increase in uncertainty, the risk for the seller of an option increases, and therefore, we have an increase in the premium. This is to ensure that the seller of the option is well incentivized to sell options even in turbulent times in the market.